

JUSTIN DRAPLIN

***Solar as a Tax Strategy:**
Beyond Tax Credits and Into
Wealth Creation





Advise with Solar

*Advanced Tax Mitigation Through Solar Investment
Tax Credits*

Presented by

JUSTIN DRAPLIN

About Fortified Solar

- US-based solar technology manufacturer with a full production facility in Taylors/Greenville, SC
- 5+ years in solar ITC
- Partner with developers to deploy systems tied to solar assets
- Model designed to meet advisor-level scrutiny by prioritizing documentation integrity and risk mitigation

Disclaimer

Please note that the information presented in this webinar is for general educational purposes only and should not be construed as tax, legal, accounting, or investment advice. Participants should consult their own qualified professional advisors before making any decisions based on the material discussed today



Solar ITC & Bonus Depreciation

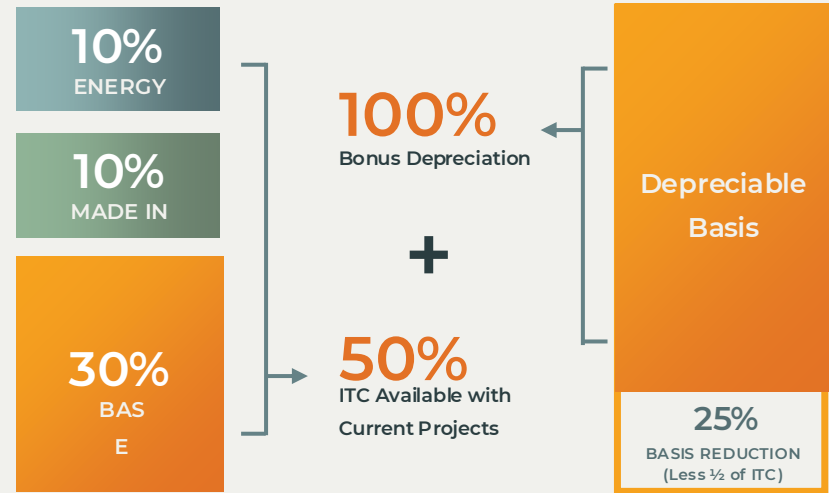
Fortified Solar builds projects that qualify for a 30% Federal Investment Tax Credit, plus:

- 10% bonus for Domestic Content Projects
- Potential 10% bonus for projects in energy communities

Current projects qualify for 50% ITC.

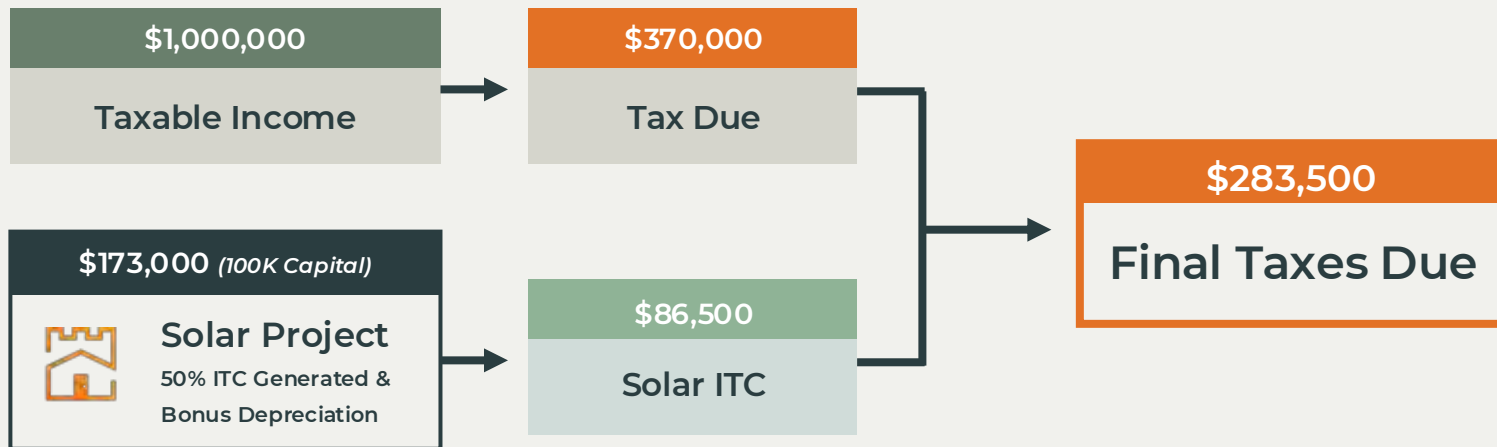
Solar Facilities that qualify as Energy Property are eligible for 100% federal bonus depreciation in year 1.

- Receive 100% bonus depreciation on ~75% of project value
- Basis reduction = $\frac{1}{2}$ of ITC



Solar ITC: What Are They?

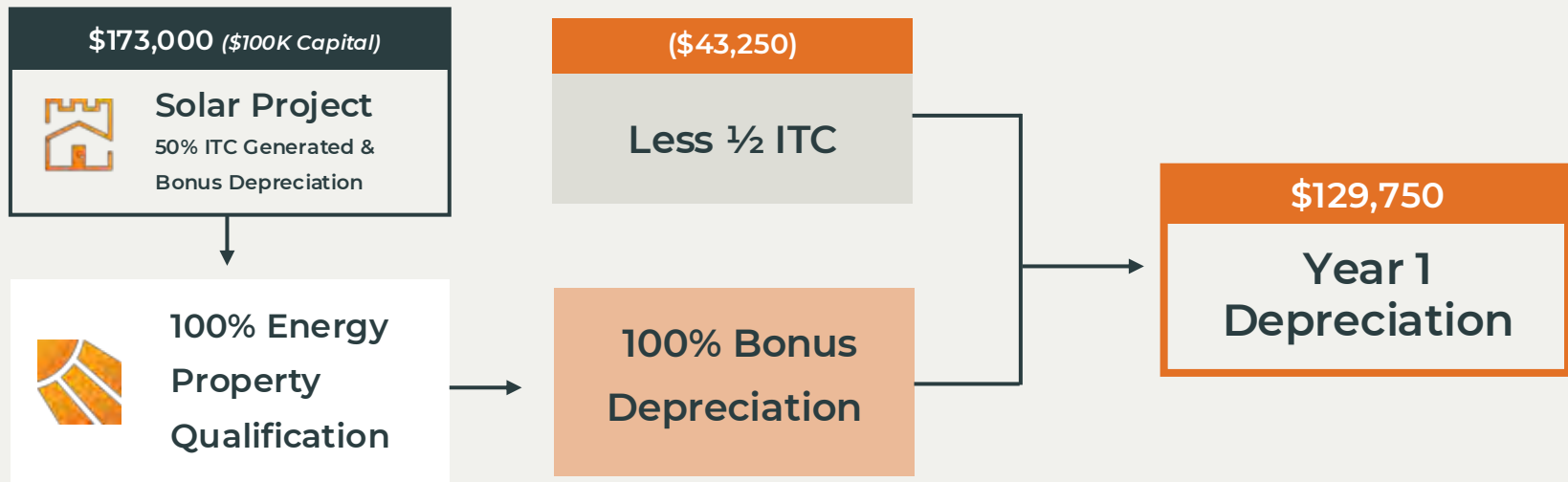
Investment Tax Credits (ITCs) are federal incentives that provide a dollar-for-dollar reduction in taxes owed when investing in qualifying energy assets like solar.



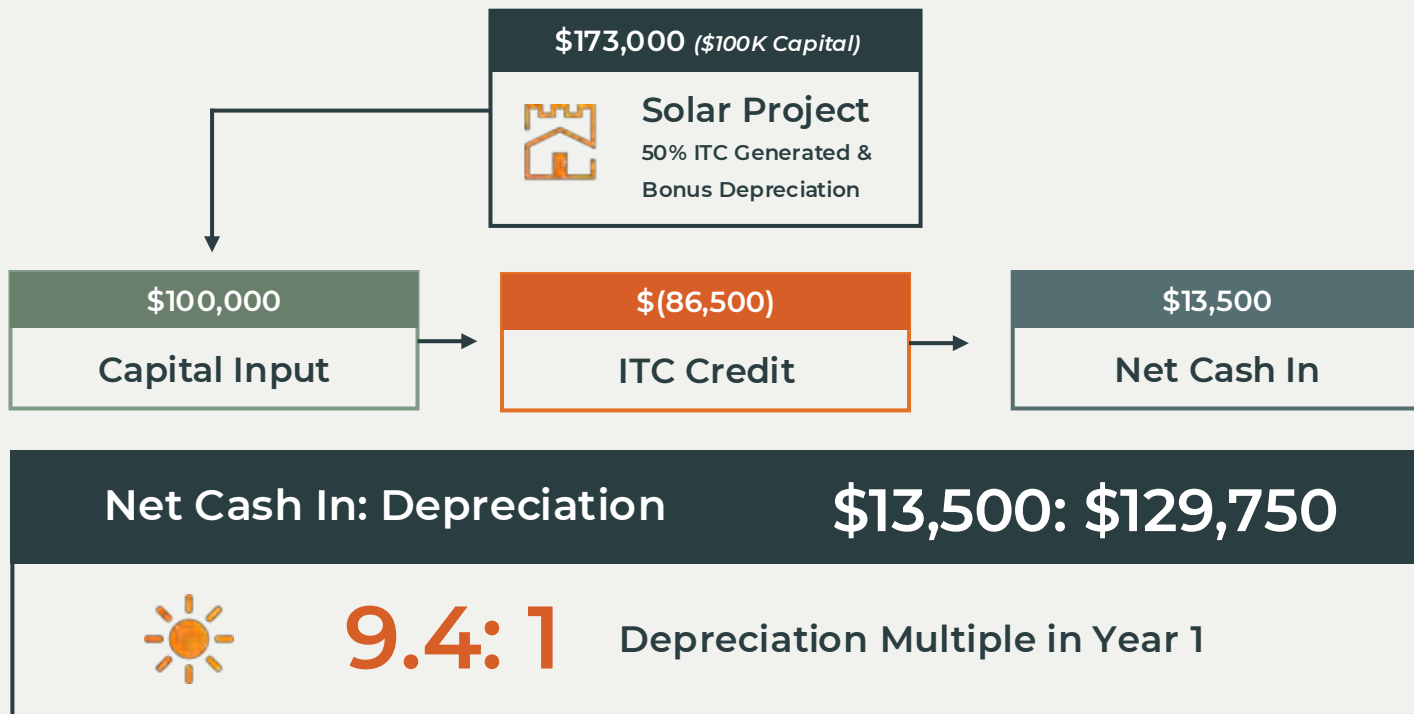
Bonus Depreciation: How It Works

Solar Facilities that qualify as Energy Property are eligible for 100% federal bonus depreciation in year

1.



Net Depreciation Multiple



Project Purchase Snapshot

\$100,000 Capital Input - (\$173,000 Project Cost)

Year 1 Tax Benefit

- Fed. ITC Credit \$86,500
- Fed. Depreciation Benefit \$48,000
- CA State Depreciation \$4,500

Total Year 1 Tax Benefit: \$139,000

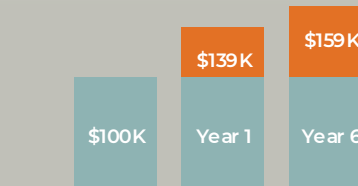
Year 2-6 Cash Benefit

- $\$19,400 - \$17,700 = \$1,700$
- (Cash Flow - Debt Service)
- State Depreciation \$18,400

Total Years 2-6 Tax Benefit: \$20,100

Total Benefit Through Year 6

- $\$100,000 + \text{FS} = \$159,100$
- 159% ROI



ITC & Bonus Depreciation Utilization

Applies to Ordinary Income: Active

- Regularly used to offset normal W2 income within an active participation framework.
- Active participation requires 100 hours in the year you received the ITC.

Applies to Passive Income: Non-Active

- Real Estate Income - Rental
- Passive Capital Gains
- Distributions - KIs

Active Participation Requirements

- Substantial, regular involvement in the business
- Minimum time threshold: ~100 hours annually
- Participation must include core business functions such as:
 - Operations
 - Strategy
 - Sales
 - Financial Oversight
- Activities should directly impact business performance
- Must maintain clear documentation to support participation
 - Emails
 - Logs
 - Financial Records

What “At-Risk” Really Means

At-Risk: economic exposure that can actually be lost

Section 49 and Section 465 limit use of credits and losses

Who It Applies To

- Individuals
- Closely held C corporations

What It Limits

- ITC eligibility
- Loss utilization

Where It's Tested

- Investor level (not entity level)
- Applied before passive loss rules

What Counts as “At-Risk Capital”



Cash

Cash Contributions



Property

Property Pledged as Security



Personal Liability

Personally Liable Debt

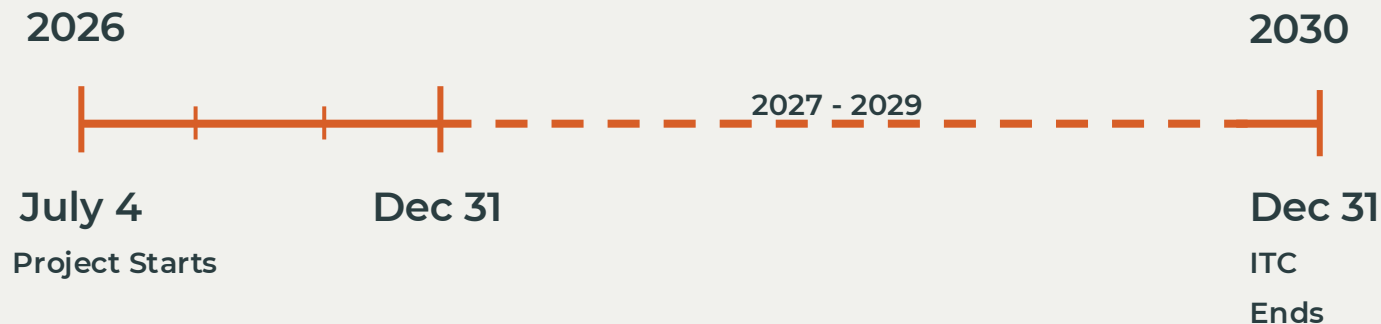


Structured Debt

Qualified Nonrecourse Financing

Safe Harbor Exemptions

- Per OB3, projects “deemed to have started” before July 4, 2026 may be placed in service through December 31, 2030 (providing they are less than 1.5MW)
- OB3 specifically designates a “5% Safe Harbor” (Financial Test) as an independent criteria establishing a project’s start.
- If a project buyer pays 5% of the total project cost before July 4th, 2026, the project qualifies as having started, and can be placed in service through December 31st, 2030.



Due Diligence

ITC Calculations | Cherry Bekaert

Technical Memo

At-Risk Rules | Nelson Mullins

Tax Memorandum

Safe Harbor Compliance & ITC | Nelson Mullins

Legal Opinion

Qualification for ITC – IRC § 48 | Nelson Mullins

Legal Opinion

Post OBBS ITC | Nelson Mullins

Legal Opinion

FEOC under OB3 | Nelson Mullins

Legal Opinion





FORTIFIED
SOLAR

Questions?



Advise with Solar

Guide clients to a compliant structure that delivers measurable returns, tax efficiency, and long-term asset protection.

Contact Us

Scan the code to complete a quick interest form, then book a meeting with Fortified Solar to learn more.



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